

cloud-based software such as Salesforce doesn't require maintaining all the back-end hardware. Investors simply buy a share of the processing power provided by mining efforts performed in a remote data center.

Thorough due diligence and research are needed before buying into a cloud-based mining pool service because a fair share of fraud and scams have occurred. A study of Bitcoin-based scams by Professors Marie Vasek and Tyler Moore from SMU included findings that several cloud-based mining operations were Ponzi schemes that "take payments from 'investors' but never deliver product." Their research even identified specific mining scams. "Active Mining and Ice Drill are operations that raised money to purportedly make ASICs and share the profits but never delivered.

AsicMiningEquipment.com and Dragon-Miner.com are fraudulent mining e-commerce websites."¹²

Before investing in a cloud-based mining pool, conduct research on the potential investment. If it sounds too good to be true, it probably is. Verify that the operation has a physical location, a listing of existing equipment, and a track record of past projects. Genesis Mining is one of the largest cloud-based bitcoin mining pool services.¹³ It's been in business since 2013 and offers mining in bitcoin, litecoin, zcash, and ether.¹⁴ On its website it shows photos and videos of its data centers; many are in Iceland where electricity costs are low due to its geothermal power.

Proof-of-Stake